

4.2.3 Economic performance

4.2.3.1 Economic growth and the economic cycle

Content	Additional information
• The difference between short-run and long-run growth. • The various demand-side and supply-side determinants of short-run growth of real national income and the long-run trend rate of economic growth. • The costs and benefits of economic growth. • The impact of growth on individuals, the economy and the environment. • The concept of the economic cycle and the use of a range of economic indicators, such as real GDP, the rate of inflation, unemployment and investment, to identify the various phases of the economic cycle. • The difference between positive and negative output gaps. • The causes of changes in the various phases of the economic cycle, including both global and domestic demand-side and supply-side shocks.	Students should be able to use a production possibility curve and AD/AS diagrams to illustrate the distinction between short-run and long-run economic growth. Students should understand that long-run economic growth occurs when the productive capacity of the economy is increasing and is a term used to refer to the trend rate of growth of real national output in an economy over time. Students should be able to discuss the sustainability of economic growth. Students should understand that a positive output gap occurs when real GDP is above the productive potential of the economy, and a negative output gap occurs when real GDP is below the economy's productive potential. Students should be able to discuss causes of cyclical instability such as: excessive growth in credit and levels of debt, asset price bubbles, destabilising speculation and animal spirits or herding.

4.2.3.2 Employment and unemployment

Content	Additional information
• The main UK measures of unemployment, ie the claimant count and the Labour Force Survey measure. • The concepts of voluntary and involuntary unemployment. • The terms seasonal, frictional, structural and cyclical unemployment. • How employment and unemployment may be determined by both demand-side and supply-side factors. • The concept of, and the factors which determine, real wage unemployment. • The concept of, and the factors which determine, the natural rate of unemployment. • The consequences of unemployment for individuals and for the performance of the economy.	Students should appreciate that unemployment has a variety of causes and hence the appropriate policies to reduce unemployment depend on the cause. They should understand that a negative output gap is linked to cyclical unemployment and that supply-side causes of unemployment affect the position of the long-run aggregate supply curve.

4.2.3.3 Inflation and deflation

Content	Additional information
• The concepts of inflation, deflation and disinflation. • Demand-pull and cost-push influences on the price level. • Fisher's equation of exchange $MV = PQ$ and the Quantity Theory of Money in relation to the monetarist model. • The effects of expectations on changes in the price level • The consequences of inflation for both individuals and the performance of the economy. • The consequences of deflation for both individuals and the performance of the economy. • How changes in world commodity prices affect domestic inflation. • How changes in other economies can affect inflation in the UK.	Students should understand that deflation exists when the price level is falling, whereas disinflation is when the rate of inflation is falling. Students should appreciate that deflationary policies are policies to reduce aggregate demand and do not necessarily result in deflation. Students can use T instead of Q in the Fisher equation but using Q means that PQ is nominal national income and overcomes the difficulties associated with the inclusion of intermediate transactions.

4.2.3.4 Possible conflicts between macroeconomic policy objectives

Content	Additional information
• How negative and positive output gaps relate to unemployment and inflationary pressures. • Both the short-run Phillips curve and the long-run, L-shaped Phillips curve. • The implications of the short-run Phillips curve and the long-run, L-shaped Phillips curve for economic policy. • How economic policies may be used to try to reconcile possible policy conflicts both in the short run and the long run.	Students should be able to use macroeconomic models, including the AD/AS model, to analyse the causes of possible conflicts between policy objectives in the short run and long run. They should be able to discuss approaches to reconciling these conflicts and the monetarist/supply-side view that the major macroeconomic objectives are compatible in the long run. The L-shaped Phillips curve is also known as the vertical long-run Phillips curve.